It seems so simple because it is. The creditors are "numbers" people. They don't care much for your stories. Cry all you want; they want to see the cold hard figures.

In general, it is wise to be brief. State the facts, and that is all. Trying to say too much really ends up not being helpful. If you have nothing, state that simple fact. Maybe you do not need an income statement or a balance sheet. A piece of paper with a bunch of zeros won't do any more than a simple letter.

Ask a friend who is an accountant, or the person who has done your taxes all these years, to draft a simple letter on their letterhead. All it has to say is something to the effect: "I have been doing Mary's taxes for years. Her liabilities exceed her assets and she has a negative net worth. Mary has no resources." Signed off by MR. CPA.

Telling them any more is not necessary, and it is not advisable. You can use this method to cut your debts in as much as half or 75%, even 100%!

We will revisit the topic later, but now you know: Everything is open to negotiation and financial statements are a technique to get you there!